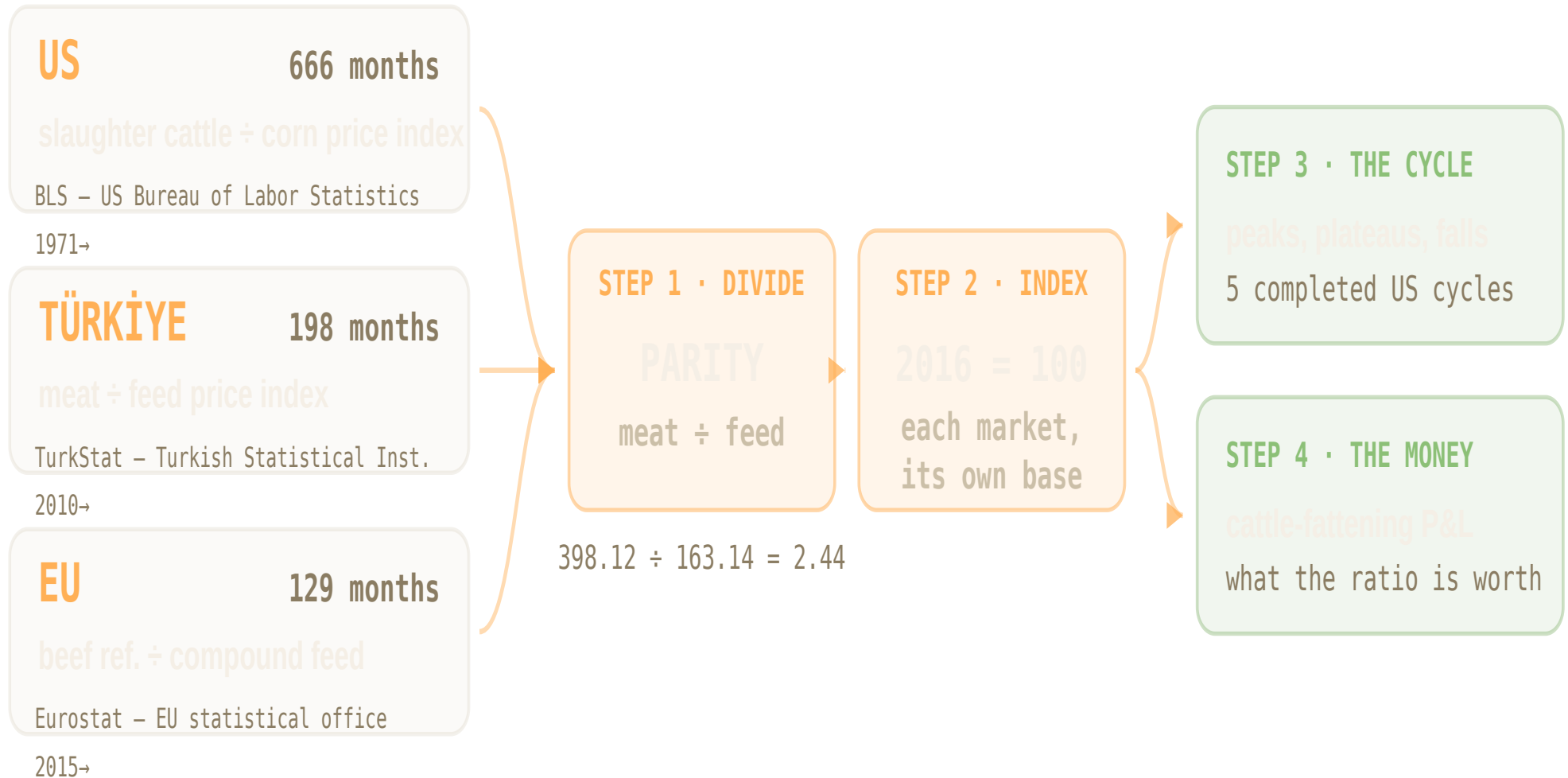


55 years of US data. 16 of Türkiye. 11 of the EU.

Six published price series — every monthly observation each country has — consolidated into one comparable measure of what a livestock producer earns, then read for its cycle.



Cattle producers in all three of our markets are at a cycle peak.

+84%_{US} **+25%**_{EU} **+21%**_{TR}

more feed a kilo of beef buys today than it did in 2016 — each market against its own past

13

months the US has already spent within 10% of its peak

0

of the five previous US peaks that lasted — every one fell back

WHAT YOU ARE LOOKING AT

One ratio: what a kilo of beef is worth in feed.

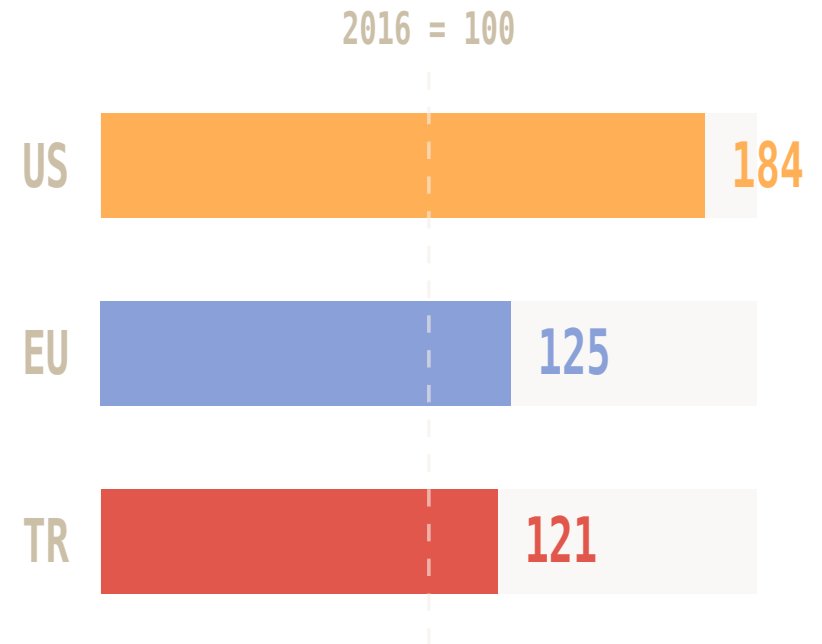
Higher = meat outpacing feed, the producer earns more. It is a relative measure — read it against its own past, never as a quantity of feed.

FEED-BUYING POWER OF A KILO OF US BEEF

Dec 1974 1 kg → ● ×1
the weakest month on record

Jun 2026 1 kg → ●●●●●● ×6.2
6.2 times stronger

ALL THREE MARKETS · EACH VS ITS OWN 2016



US 184 = 84% more feed per kilo of beef than in 2016.

each oval = the Dec 1974 low · ratio of US cattle and corn producer price index

US slaughter cattle ÷ corn

BLS (US federal statistics office) · 1971→ · 666 mo

EU beef ref. price ÷ compound feed

Eurostat · 2015→ · 129 mo

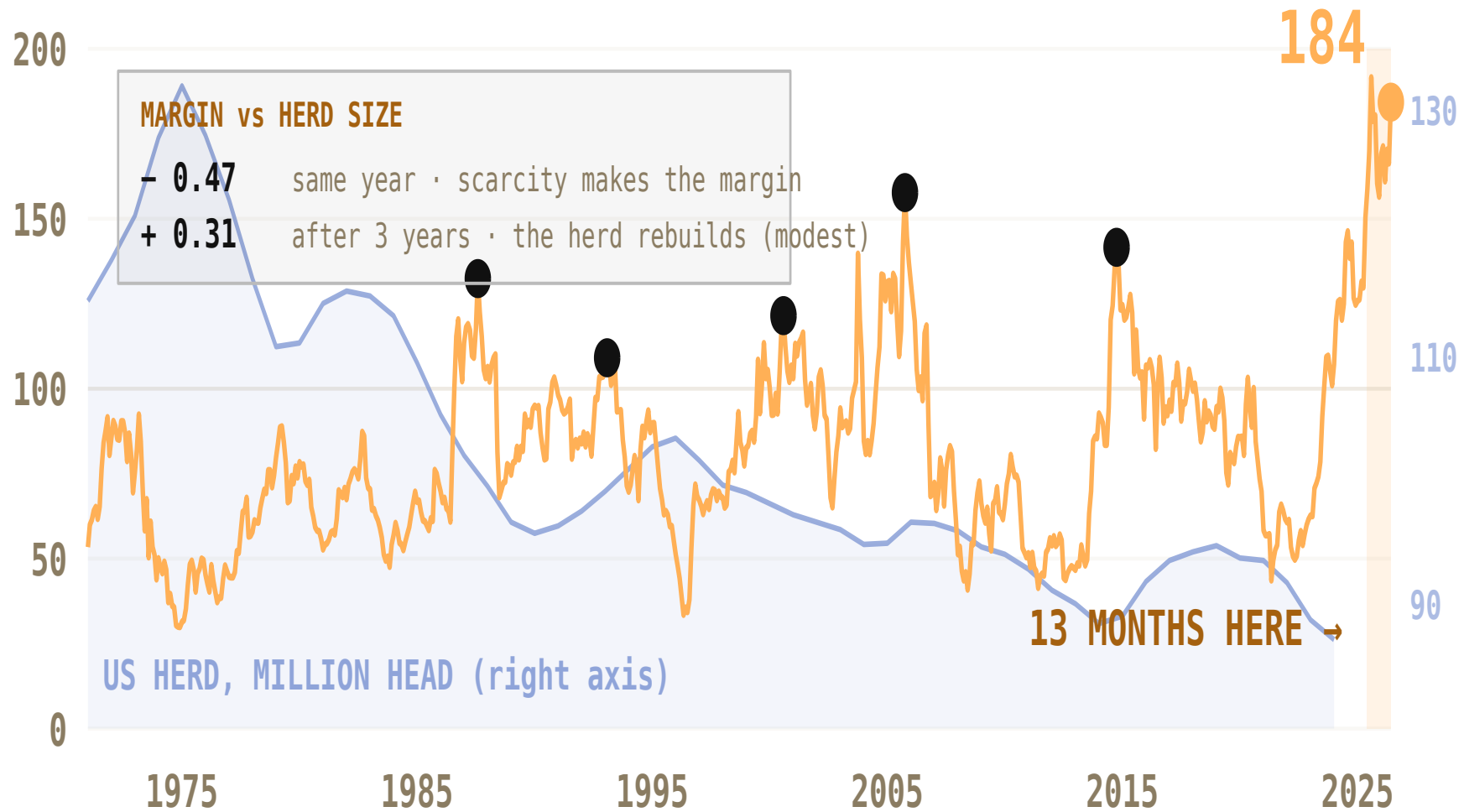
TR meat ÷ feed PPI

TurkStat · 2010→ · 198 mo

Not the same basket in each country — which is why each series is indexed to its own base, and why we read shape rather than level.

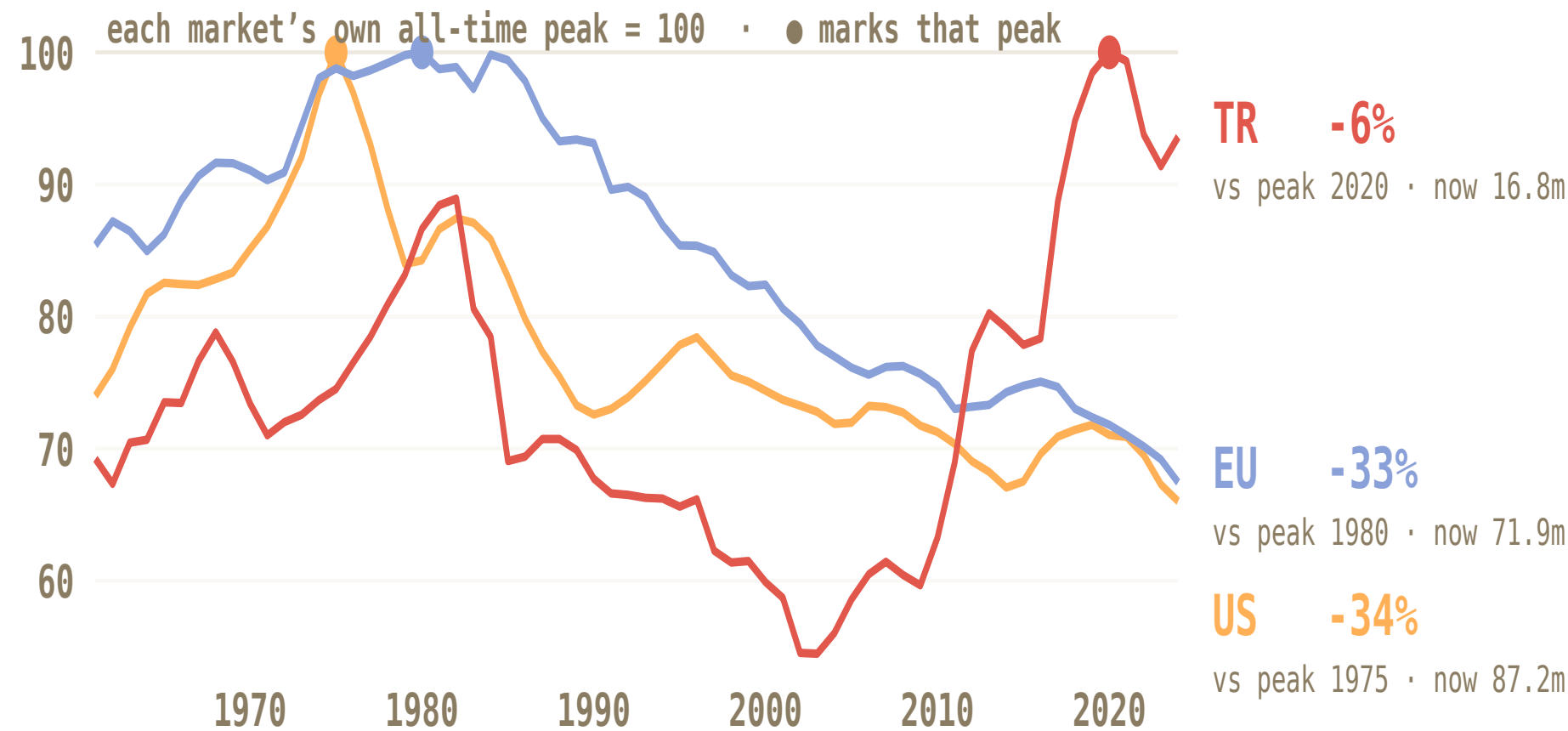
Record margins. Fewest cattle since the series began.

US only. Amber = producer margin ratio (left). Blue = the size of the US cattle herd (right). Scarcity is what makes the margin.



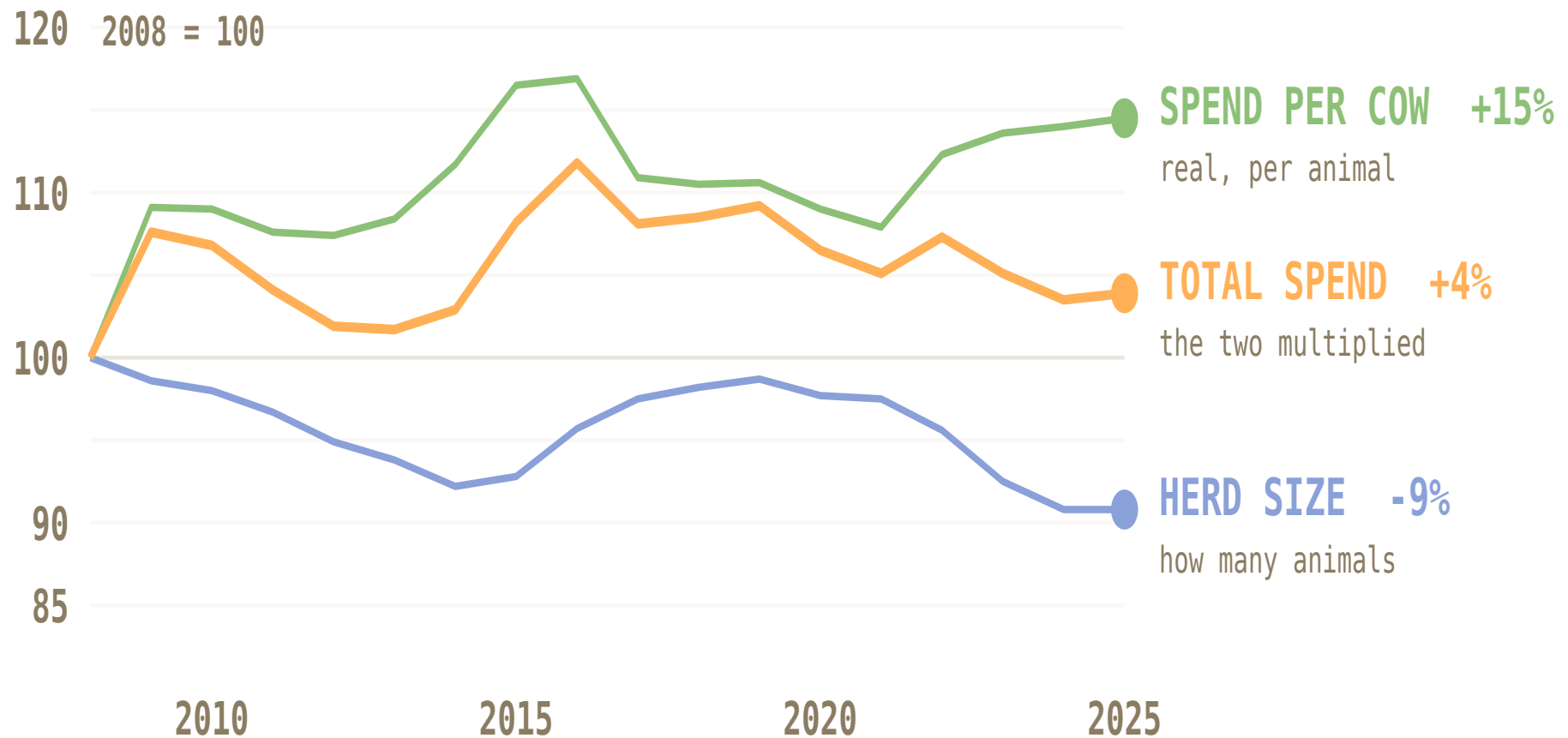
Two herds down a third. One still growing.

Cattle numbers, each market against its own all-time peak. Margin is measured per animal — this is how many animals there are.



More per animal. Fewer animals. Total flat.

US cow-calf vet & medicine spending, inflation-adjusted. Per animal it rises with the margin ($r = +0.70$) — the shrinking herd cancels it out.



Five US peaks. Every one fell 25–60% — over two to five years.

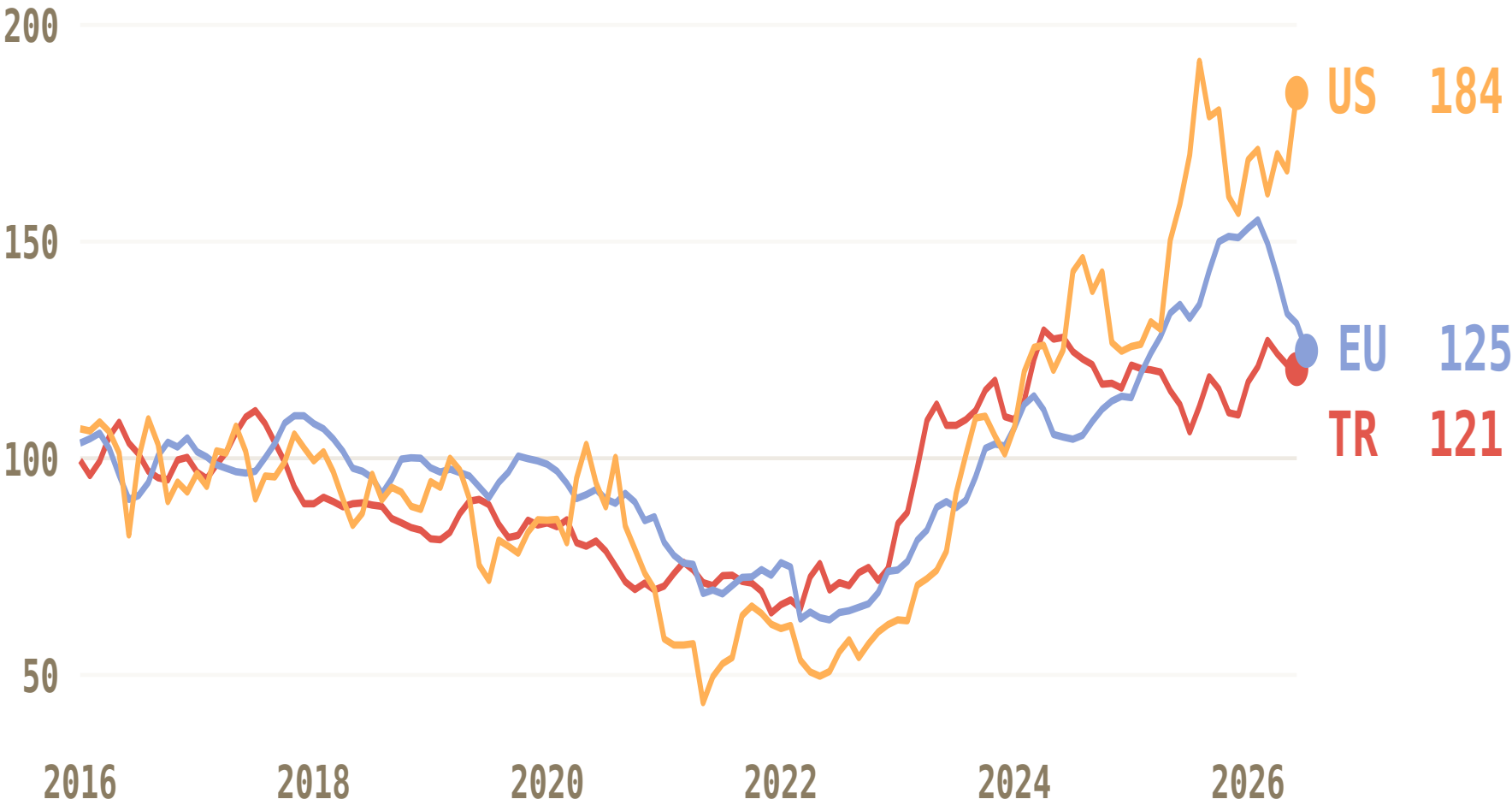
US cycles, 1971–2026 — the only record long enough to count them. Peaks and falls measured on the twelve-month average, so single-month spikes do not count as cycles.



TWELVE-MONTH AVERAGE • PLATEAU = MONTHS WITHIN 10% OF PEAK • FALL = PEAK TO THE NEXT LOW • A CYCLE PEAK IS A LOCAL MAXIMUM OVER ±18 MONTHS

Three markets. One cycle. At the same time.

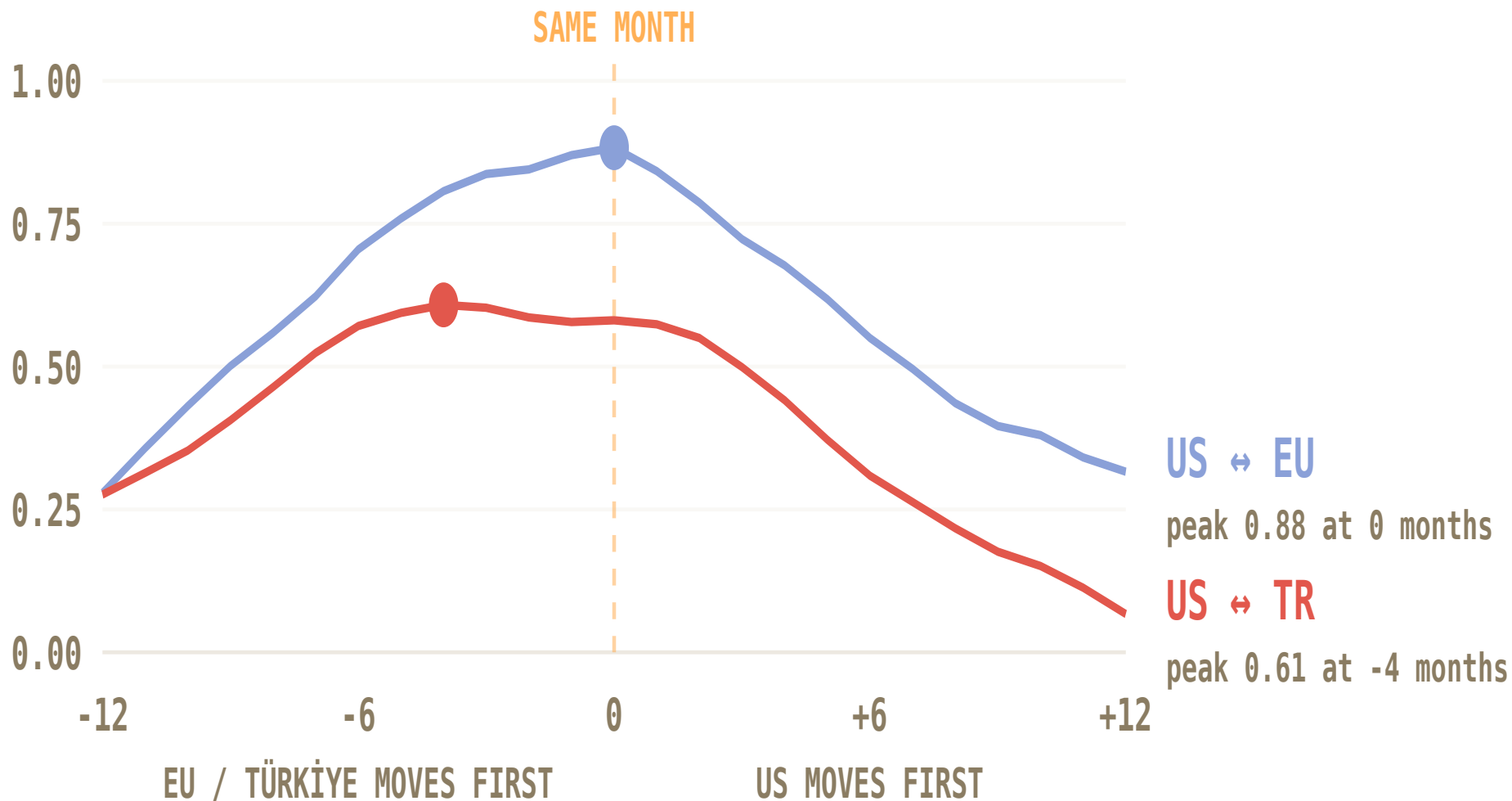
Now all three — each on its own 2016 = 100 base. Watch the shape, not the gap: the level is not comparable, the timing is.



EACH MARKET INDEXED TO ITS OWN 2016 AVERAGE = 100 • US-EU CORRELATION 0.88 AT ZERO LAG

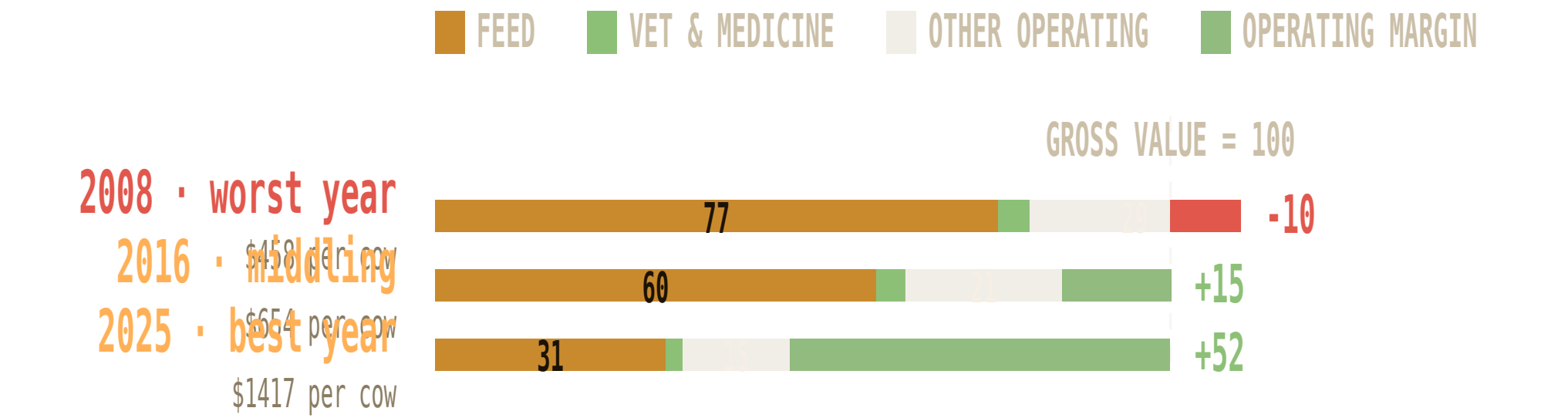
Yes — and nobody goes first, so there is no early warning.

Correlation of year-on-year change, tested at every shift from -12 to +12 months. A market that led would peak clearly off-centre. The EU peaks exactly at zero; Türkiye is flat across -4 to 0.



Feed was 77% of revenue. Now it is 31%.

USDA's own cow-calf accounts, per \$100 of gross value. Nothing modelled — these are surveyed costs. The feed line does the swinging; vet spend barely moves.



Operating margin, not profit — excludes overhead, unpaid family labour and capital recovery (USDA costs these at ~¾ of gross value). Cow-calf, not feedlot, so no calf-purchase line.

EVERY SOURCE IN THIS DECK

Meat & feed prices

US: BLS producer price indexes WPU0131 (slaughter cattle) ÷ WPU012202 (corn), via FRED, 1971 →
EU: European Commission beef reference price ÷ feed grain, 2015 →
Türkiye: TurkStat Yi-ÜFE TP.TUFE1YI.T17 ÷ T25, via CBRT EVDS, 2010 →

Cattle numbers

FAOSTAT cattle stocks (head), via Our World in Data, 1961–2024, all three markets

Veterinary spend

US: USDA ERS commodity costs and returns, cow-calf, 1996 →
EU: Eurostat Economic Accounts for Agriculture, item AM205000, 2005 →

Deflators

US: CPI-U (FRED CPIAUCSL) · Euro area: HICP (FRED CP0000EZ19M086NEST)

Breaks & limits

ERS changed survey basis in 2008 — no comparison spans it. EU veterinary line covers all livestock, not cattle alone. No per-head cost accounts published for Türkiye.

Spend follows the margin. The margin is late in its cycle.

The link from producer economics to producer spending is no longer an assumption. It is measured — and it points at a timing decision.

1 What is established

Producers are at a cycle peak in all three markets. Five for five, every previous US peak reversed — 25 to 60%, over two to five years. The US and EU herds are a third below their peaks.

2 What the spend data shows

US vet spend per head tracks producer margin at $r = +0.70$, and has risen 15% in real terms since 2008. But the herd fell 9%, so the real pool grew just 4%. In the EU spend per head does not respond to the cycle at all — it is flat.

3 What is still open, and the ask

Which products move, and whether our own sales follow the same curve. Two to three weeks with the livestock commercial teams: map our sales through the last two downturns against this ratio, and rank the portfolio by what a producer defers first. **What I need from you is an introduction to the livestock lead.**

Three markets. Three different problems.

Same cycle everywhere — but the herd, the spending behaviour and therefore the commercial risk are not the same. Read each column top to bottom.

US

HOW MANY ANIMALS

-34%

vs its own peak · now 87m

SPEND vs MARGIN

cyclical

r = 0.70

THE MONEY IN THE MARKET

+4%

17-yr real pool

TIME THE PRICE MOVE

spend moves with the margin — and the margin is late in its cycle

EU

HOW MANY ANIMALS

-33%

vs its own peak · now 72m

SPEND vs MARGIN

flat

r = 0.00

THE MONEY IN THE MARKET

-5%

20-yr real pool

DEFEND THE VOLUME

spend per head ignores the cycle — the shrinking herd is the whole risk

TÜRKİYE

HOW MANY ANIMALS

-6%

vs its own peak · now 17m

SPEND vs MARGIN

no data

—

THE MONEY IN THE MARKET

n/a

not measurable

THE GROWTH MARKET

the only herd still growing — and the only spend we cannot yet see